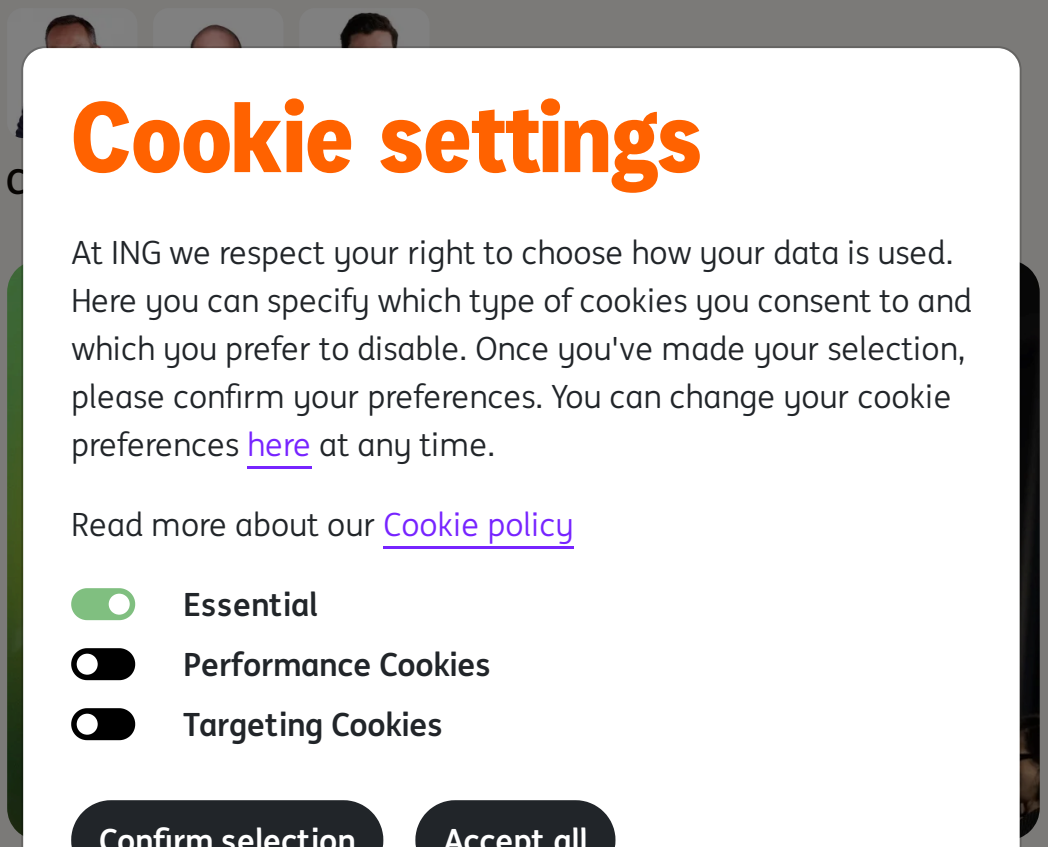
FX markets face a busy week full of central bank meetings, data releases and politics. With energy prices firm and expectations growing that the US and Israel will launch another attack on Iran, we expect central banks to stay hawkish. This should keep the dollar supported on dips. Expect Brazilian assets to sell off today on President Lula's surprise win



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USD: Geopolitical environment remains dollar positive

The dollar is starting a busy week relatively supported. It is a week that includes key events such as Wednesday's FOMC meeting, third-quarter earnings from big tech companies and geopolitical events, including tomorrow's elections in Israel. There are also a whole host of central bank meetings across G10 currencies, including those in the eurozone, Japan, Canada and New Zealand.

The balance of risks suggests that the dollar can probably hold onto its gains. Yes, interest rate spreads have moved a little against the dollar as the recent US tech wobble has pared back Federal Reserve tightening expectations. But energy prices remain at their highs, and the arrival of a third US aircraft carrier group in the Gulf makes further escalation in the Middle East more likely than not.

Barring some clearly underwhelming 3Q results from the likes of Alphabet and Microsoft on Wednesday, we think higher energy prices and a hawkish Fed can keep the dollar supported this week. That means the DXY dollar index can probably stay in a 101.45 to 101.85 range today. We don't really see the need for it to correct l

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euro. That seems unlikely, and high energy prices are hardly helping.

On the subject of energy, last week's release of the eurozone current account surplus for August at just €8.7bn (the lowest since the start of 2023) provided a reminder of the toll higher energy prices are taking on the bloc's external position. This, alongside a U-turn in Fed policy, had contributed to a very weak EUR/USD at the time.

Today's session is expected to see stable German Ifo business sentiment, where the important expectations component is seen at a healthy level near 90. Any downside surprise here could hit the

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euro. And while the recent 10bp narrowing in EUR/USD two-year swap differentials might make the case for a slightly higher EUR/USD, we see plenty of justification for a 1-2% risk premium to stay in the euro.

We favour 1.1250/70, capping EUR/USD upside in the near term, and see the 1.1180 support level as vulnerable this week.

Chris Turner

CEE: Zloty remains the weak link

The significant deterioration in global sentiment last week has only i… e r… w… B…

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I… d o… i…

We anticipate a rate hike at the November meeting, with the CNB currently preparing the market for such a move.

On Friday, EUR/PLN tested new highs since 2023 and broke through the key 4.400 level. We have long identified the zloty as the most vulnerable currency in the region, and given its rate outperformance relative to CEE peers, there is likely further upside for EUR/PLN. Friday's inflation data from Poland could help stabilise the market. EUR/CZK also decoupled from the interest rate differential; a hawkish CNB should help the pair return to the 24.250–24.300 range. EUR/HUF is gradually approaching 368, a level where we expect new sellers to emerge.

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Frantisek Taborsky

BRL: Lula comes back from the brink

In a huge surprise, incumbent Brazilian President Luiz Inácio Lula da Silva has won the presidential election run-off with 51.8% of the vote. This is the first time since 1989 that a second-placed candidate has come from behind to win the run-off. The victory is not without its controversy, however. The opposition candidate, Flavio Bolsonaro, wants the election result annulled since a Supreme Court judge extended polling hours at the last minute. Some polls had already closed, and claims are that the polls that w
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vulnerable in a global bond sell-off. Instead of fiscal consolidation under Bolsonaro, Brazilian assets are instead going to have to contend with Lula's campaign pledges, including a shorter working week.

Chris Turner

FX

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